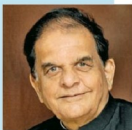


Viewpoint:

Switching From SERVICE To VALUE-ADDED ECONOMY



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I am very happy ever since I found out that even the USA would be following India in giving top priority to local value addition through manufacturing and create some real wealth. At last, the large section of people both in India and the USA, who were left out of national economic growth in the past decades, may, over a period of time, have jobs and, thus, a comfortable life, as value-added economy again takes a firm grip and focuses on Make in India or now Make in USA.

It is clear that service economy, over the last few decades, has made the rich richer, and the promised trickle down of wealth among the have-nots has not happened, except in India's large black economy. Now, we can hopefully look forward to improving our poor classes, economically and socially, as more thoughtful government policies promote a value-added economy vigorously to grow engineering and agricultural manufacturing sector that would create real wealth and more jobs necessary to create it.

Owing to the fact that the USA joins India in changing its primary focus of economic growth on a valued-added

economy rather than a service economy, I am sure there would be more economists shifting gear and coming forward to prove the merits of the value-added approach for inclusive economic growth of a nation.

The famous anti-media American lawyer Charles Harder, who is now President Donald Trump's lawyer, is going after *The New York Times* for defamation. He published the book *Will we ever learn?* in 2009, in which he very effectively made a strong case against service economy. He wrote, "Today, our leaders are realising that the much heralded service industry is just a poker game that shuffles the money but does not create real wealth. Growing unemployment has made them realise that only value-added activities such as mining, manufacturing and agriculture create real wealth. Any other activity is essentially parasitic."

He argued that value-added activities within a country are its real growth engines. Without their growth you cannot create any form of money supply that retains value. This is why US Dollar and Indian Rupee have continuously crumpled in value in the last three decades. Money is no more tied to real wealth.

